

THE MANY TWISTS AND TURNS



THE BURMANS PICKED UP 5.27% IN RELIGARE IN SEPTEMBER 2023, TRIGGERING AN OPEN OFFER ANNOUNCEMENT. BUT THE RELIGARE BOARD SUBSEQUENTLY SOUGHT AN INDEPENDENT VALUATION

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● FEBRUARY 2018

Malvinder and Shivinder Singh (*in picture above*) step down from Religare's board

● APR-DEC 2018

The Burman family picks up a 9.9% stake in Religare Enterprises Ltd in April; Rashmi Saluja joins board

● JUNE 2021

Religare raises ₹570 crore through a preferential issue; the Burman family participates and ups its stake to close to 14.5%

● AUGUST 2023

Burmans buy another 7% and take holding to around 20%

● SEPTEMBER 2023

The Burmans pick up 5.27% more in Religare, triggering an open offer by the family at ₹235 per share. The stock had closed at ₹272.45 in the previous trading session

● OCTOBER 2023

Religare's board seeks independent valuation; believes REL is worth more

OVER TO RELIGARE

So far, Religare has approached not only Sebi (for the takeover part) but also Irdai (since both groups are in the insurance business) and RBI (which regulates the NBFC business)—but not to seek their clearances for the Burmans' bid. Religare has raised objections to the bid.

Shriram Subramanian, Founder and Managing Director of InGovern Research Services, says the Sebi order-cum-show-cause notice leaves Religare with only one option: apply to RBI for clearance so that the Burmans' open offer draws to a conclusion.

"The board of REL has just been stalling applying to RBI for

the open offer by giving lame excuses. The Sebi order is clear that the board has not furnished any documentary evidence of why the Burmans are not fit and proper," he says.

Subramanian says the Burmans' open offer is a fait accompli, and it is only a matter of time before they take control of REL and replace its board and management.

The Sebi interim order says the SAST or Substantial Acquisition of Shares and Takeovers Regulations, 2011, does not specify any fit and proper criteria for the acquirer, except that it should not have been declared as a wilful defaulter/fugitive economic offender.

Religare, Sebi says, had not submitted any documentary evidence to show that the "acquirers suffer from any of the said infirmities".

Subramanian says Sebi's first order "was in the form of advice... But Religare contested it, saying Sebi lacked jurisdiction. However, this order is quite hard-hitting and makes it clear that the board of Religare behaved in an arbitrary manner and gave itself disproportionate rights without any basis."

The Burmans are clear about the way forward. "Our priority was, and has always been, to complete the open offer immediately upon receipt of the statutory approvals. Although we have aggres-

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